Module 13
Business Assurance

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

The following external and internal factors have increased the risk of fraud:

Jeng is owned by a private company with a small management team which may reveal a lack of segregation of duties.

Management's remuneration is strongly influenced by financial results, and revenue is one of the key indicators that determines the management's remuneration.

There is a possibility of management override of controls.

A lack of internal controls increases the risk of misappropriation of assets or funds as Jeng has incurred a significant amount of capital expenditure during the start-up process.

Management set an aggressive sales target for Jeng for its first five years.

As Jeng is loss-making for the current year, management would need to boost sales to present a better financial performance for Jeng.

Jeng operates in the retail market which is subject to severe competition.

As Jeng is now looking for potential investors to inject capital, management may manipulate financial information to attract them.

Answer 1(b)

Based on assessment in Question 1(a) above, the following assertions of revenue are linked to fraud risks because:

Occurrence

- Revenue may be overstated to present a better financial performance and to get a better share valuation.
- Fictitious sales transactions may be recorded through manipulation of accounting records.
- Potential investors can compare Jeng's overstated revenue amounts with other market participants in the industry.

Accuracy

Sales discounts may not be recorded to offset the revenue account which would boost the revenue line.

Consignment sales may be wrongly determined as the sale of goods, which would overstate the gross amount of revenue.

Cut-off

Sales are recorded prior to the delivery of goods.

Answer 2(a)

Application controls in the revenue and receipt cycle include:

- Only registered members can place orders via an online platform, ensuring the existence of a genuine customer.
- Items set out in the sales orders are linked to the delivery notes and the invoices, ensuring no discrepancies are allowed.
- Goods are delivered only when approved payment confirmations are obtained from external vendors or credit card issuers.
- Each sale transaction reconciles with an approved payment ensuring accuracy and completeness of sale and receipt transactions.
- Sale prices are generated by the system ensuring accurate prices of all sale items.
- Unique bar codes are assigned to consignment goods ensuring the system can identify consignment sales automatically.
- The system performs casting to ensure accurate invoice amounts are processed via the payment process.
- Only electronic payment methods are accepted.
- Discounts offered to registered members are automatically calculated by the system.

Answer 2(b)

The audit team can perform testing of the following application controls:

- Check for duplicate registered member accounts
- Check approvals for selling price master list.

- Check for duplicate item bar codes.
- Check the existence of the transactions by reconciling the sales orders with the delivery notes.
- Check the password control in the application to confirm secure log-in of customers.
- Check the QR code control in the self-checkout machines in the kiosks.
- Check the authorisation of sales transactions by reconciling each sale with the electronic or credit card payment.
- Check the reconciliation of the bar codes used in the delivery notes and invoices. Verify that errors or mismatches are followed up.
- Inspect reports on unprocessed/ uncleared transactions (e.g., unpaid invoices).
- Select samples to check the price is linked to the data centre, and the casting of the invoices.
- Check approvals for consignment items when assigning bar codes to each sales item.
- Check calculations of discounts by matching each discount to the appropriate registered member account.

Answer 2(c)

The criteria that the audit team can apply for the selection of kiosks for testing of application controls include the following:

The audit team can first identify any key kiosks to be tested, e.g., kiosks with significant contribution to Jeng's sales.

For remaining kiosks which may be individually insignificant but significant in aggregate, the audit team can select some randomly. The samples can be determined by statistical methods or non-statistical methods.

Statistical sampling uses computer-based technology to mathematically derive the samples. Non-statistical sampling utilises the audit team's judgement and experience to derive the samples.

The audit team can review if every kiosk has been selected at least once within a periodic cycle (for example, three years) to ensure all kiosks will be selected within a period.

Answer 3(a)

Based on the enquiries with the CFO, the audit team noted that at the end of the year, management estimated a provision for a sales return of HK$9 million, which represented 3% of the gross sales amounts. The provision was reversed in the following month as no members claimed any sales return.

Based on the information as set out in the case, only registered members are entitled to a full refund and return of goods within 7 days.

Accordingly, any sales return should be processed within 7 days after the year end date. The estimate based on 3% of the gross sales does not form any basis.

Further, the provision was subsequently reversed by management but reflected in the next accounting period. The provision at the year-end date was overstated in the current financial statements.

The audit team should further enquire or challenge management the appropriateness of making 3% of the gross sales as provision.

Inspect subsequent payment to identify any return of goods are posted.

The audit team should consider if this overstatement is material to the financial statements, and if material, shall discuss with the management to determine if any audit adjustment is needed.

Answer 3(b)

Based on enquiries with the CFO, senior management personnel may receive a discretionary bonus depending on Jeng's sales in that year.

As management bonuses are on a discretionary basis, this is the first year's operation for Jeng and no track records can be compared. Coupled with the fact that Jeng was loss-making, it is quite abnormal to pay discretionary bonuses to management team members unless it is bound by contracts. In addition, certain senior management personnel are related parties of Jeng who may exercise undue influence for the distribution of bonuses thereto.

The audit team should further enquire if there have been any discussions by the management team as to how to determine the discretionary basis and which management personnel are entitled to this bonus. They should also inspect any documentation for the approval of the bonus by shareholders.

The audit team should also evaluate whether any of these senior management personnel are related parties who approved this bonus.

Circularise confirmation to these senior management personnel to confirm the bonus amounts.

The audit team should check if proper disclosure of the management bonus is made in the financial statements.

Answer 3(c)

Based on enquiries with CFO, other expenses (HK$55 million) represented the write-off of the renovation costs incurred for certain kiosks which were closed during the year.

Jeng has operated for one year and is still in its start-up stage of opening new kiosks. It is unreasonable to close the kiosks within one year.

The audit team should obtain the breakdown of the closed kiosks and further enquire with management as to why they were closed. They should also compare the listing of write-off assets to the kiosks fixed assets register.

The audit team should also check if proper approvals of the assets write off were obtained from authorised personnel.

Recalculate the loss and the renovation costs and compare with the accounting records to ensure they are correct.

Check the contracts or agreements to ensure the kiosks are closed.

Review any management meeting to understand the reasons why these kiosks were closed.

Check if proper disclosure has been made in the financial statements.

<u>Answer 4</u>

Date: Examination date
To: Audit Partner
From: Audit Manager

Subject: Testing of manual journal entries relating to the "gross" vs "net" basis on consignment sales and other manual journal entries posted to the general ledger

<u>Background</u>

During the audit, the audit team noted that the accounting team posted 12 manual entries relating to the "gross" vs "net" on consignment sales to reflect the consignment sales on net basis. The audit team found that, in addition to these 12 manual entries, the accounting team posted 50 other journal entries which were all credited to the revenue account, and the amounts of some of these journal entries are significant.

Although the presentation of the consignment sales at gross amount does not have any impact on net profit, it could still materially impact Jeng's financial statements if manual entry #2 is not properly posted. Further, through the posting of the 50 other manual entries which credited to the revenue account, there may be opportunities for management to overstate revenue by recording inappropriate journal entries.

The audit team should perform additional work on testing these manual journal entries.

(1) Proposed work on testing of the 12 manual journal entries relating to "gross" vs "net" presentation of consignment sales

Obtain the listing of 12 manual journal entries, enquire management and accounting team to understand the process, and establish internal controls regarding the booking of these monthly manual entries.

Check the calculation of the 12 manual entries and ensure correct accounts are posted to the ledger.

Check whether appropriate approvals have been obtained by the approvers in accordance with Jeng's policy.

Perform reasonableness tests on whether the amounts posted in manual entry #2 are equal to or less than 90% of entry #1 as any understatement of entry #2 may overstate the revenue account.

Re-perform the calculation of entry #2 by applying the 10% on the gross consignment sales.

To ensure appropriate classification between sales of goods and consignment sales, obtain the listing of all sales records and identify if any consignment sales are incorrectly recorded in the normal sales, such as:

- consignment goods being contained in the normal sales listing; or
- missing corresponding entries deducted from inventory because Jeng does not own any inventories for consignment sales.

To ensure the appropriate net consignment sales are recorded, extend confirmation procedures on balances payable to principals for consignment sales to identify if there was any material understatement of payables to the principals.

(2) Proposed work on the 50 other journal entries which are all credited to revenue account

Obtain the listing of the 50 other manual journal entries which are posted to revenue account.

Apart from crediting to revenue account, summarise the accounts and the amounts of the debits pursuant to these manual entries.

Enquire the accounting department and management for the nature and approval requirements for these manual entries.

Check whether proper approvals have been obtained for posting these manual entries.

Check whether posting of these manual entries have been booked in the ledger and agreed to the financial statements.

Identify irregular journal entries for testing, such as:

- Amount considered as significant;

- Journal entries which have not properly gone through the accounting department or other department approvals;

- Journal entries which were not supported with documentary evidence;

- Journal entries which did not have any detailed descriptions;

If fraudulent journal entries were posted, there may be overstatements of assets or expenses items. Accordingly, we shall cross-check the audit work of the assets accounts and expenses items and look for overstatements.

We shall also report to those charged with governance regarding the posting of these manual journal entries which may increase the risk of material misstatements of the financial statements.

Please consider the above audit procedures on testing the manual journal entries.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS **(Total: 50 marks)**

Answer 5(a)

The provision of financial statements preparation service may create self-review threats.

However, in accordance with section R601.5 of the *Code of Ethics for Professional Accountants:* The firm may provide services related to the preparation of accounting records and financial statements to an audit client that is not a public interest entity where the services are of a routine or mechanical nature that require little to no professional judgement from the professional accountant.

Since the preparation of financial statements is based on information in the client-approved trial balance, only little/ no professional judgement is involved and it is of a routine or mechanical nature, so it is acceptable.

Possible safeguard:

Arranging the preparation of accounting records and financial statements to be performed by an individual who is not a member of the audit team; or

If such preparation of accounting records and financial statements is performed by a member of the audit team, a partner or senior staff member with appropriate expertise who is not a member of the audit team should review the work performed.

Answer 5(b)

In accordance with section 524.5 A1 of the *Code of Ethics for Professional Accountants:* A self-interest threat is created when a member of the assurance team participates in the assurance engagement while knowing that the member of the assurance team will, or may, join the client sometime in the future.

Possible safeguard:

Firm policies and procedures shall require members of an audit team to notify the firm when entering employment negotiations with the client.

On receiving such notification, the significance of the threat shall be evaluated, and safeguards applied when necessary to eliminate the threat or reduce it to an acceptable level.

Removing the individual from the audit team.

A review of any significant judgments made by that individual while he/she was in the audit team.

Restrict the individual from taking away audit evidence that supports the conclusion of audit opinion such as audit working papers and internal audit team meeting minutes.

Answer 5(c)

Accepting gifts or hospitality from an audit client may create self-interest threats, familiarity threats or intimidation threats.

In accordance with section R420.3 of *the Code of Ethics for Professional Accountants:* In general, an audit team member should not accept gifts and hospitality from an audit client, unless the value is trivial and inconsequential.

The offer from client could not be accepted, as:

The offer of dinner in a luxury restaurant is not of trivial value.

The offer does not apply to all of the meeting participants, but only to the audit team.

The offer is made during the sensitive period (i.e. when all audit issues and findings have yet to be finalised).

Answer 6(a)

Option 1 - Disclaimer of opinion is proposed

Per HKSA 705 (Revised) *Modifications to the Opinion in the Independent Auditor's Report*, the auditor shall disclaim an opinion when the auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion, and the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be both material and pervasive.

The auditor was unable to obtain sufficient appropriate audit evidence regarding certain assumptions used for the impairment assessment/ reversal for the property, plant, and equipment of the Amusement Park and, as a result the auditor was unable to assess the recoverable amounts of these assets and satisfy themselves that the carrying amounts of the property, plant and equipment were free from material misstatement.

The Amusement Park is highly capital intensive. The balance of its property, plant and equipment is material to its financial statements. Any adjustment in respect of the property, plant and equipment balance could have a consequential effect on Farma's net assets, its net surplus/ loss for the year, the related elements making up the statement of changes in equity and statement of cash flows, and the related disclosures thereof in the financial statements which pervasively affect the financial statements.

Option 2 - Qualified opinion is proposed

Per HKSA 705 (Revised), the auditor shall express a qualified opinion when: (a) the auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements, individually or in the aggregate, are material, but not pervasive, to the financial statements; or (b) the auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion, but the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be material but not pervasive.

The Amusement Park is highly capital intensive. The balance of its property, plant and equipment is material to its financial statements. However, as the auditor was unable to obtain sufficient appropriate audit evidence regarding certain assumptions used for the impairment assessment/ reversal for the property, plant and equipment of the Amusement Park and as a result, the auditor was unable to assess the recoverable amounts of these assets and satisfy themselves that the carrying amounts of the property, plant and equipment were free from material misstatement.

Also, the possible impact would only be on property, plant and equipment account balance and related profit or loss accounts.

Therefore, the possible effects on the financial statements of undetected misstatements could be material but not pervasive.

Answer 6(b)

Qualified opinion is proposed.

Per HKSA 705 (Revised), the auditor shall express a qualified opinion when: (a) the auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements, individually or in the aggregate, are material, but not pervasive to the financial statements; or (b) the auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion, but the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be material but not pervasive.

The directors have not marked the listed bond securities to market but have instead stated them at cost, which constitutes a departure from Hong Kong Financial Reporting Standard 13 *Fair Value Measurement*.

The listed bond securities are in large quantity and the market price of the bond is directly determined by the market interest rate. Therefore, with the sharp increment of base interest rate by the Hong Kong Monetary Authority during the year, the value of the listed bond could have decreased significantly and could pose a material but not pervasive impact to the financial statements.

Answer 7(a)(i)

Existence of inventories

The risk of material misstatements relating to LaFa Group's inventories in terms of existence is considered to be high.

The Group is a global retailer which operates over 1,000 stores worldwide. Therefore, the volume and turnover of inventories is high.

There are also reported stock losses during the Group's regular cycle counts during the year.

Valuation of inventories

The risk of material misstatement relating to the Group's inventories in terms of valuation is considered to be high.

The recent economic downturn and intensified competition could further impact the net realisable value of these goods.

Despite the promotion, a significant amount of slow-moving goods still remains, which may need to be written down to their net realisable value.

Answer 7(a)(ii)

The relevant audit procedures should include the following:

Existence of inventories

Obtain an understanding of the management's internal control and assessment process of the existence of inventories and assess the inherent risk of material misstatement by considering the degree of estimation uncertainty and level of other inherent risk factors.

Conduct a physical inventories count at year end or on the Group's inventories cycle count to observe any inventories control deficiency.

Perform a two-way sample check on inventories count by selecting inventories samples from the stock list and tracing to the physical inventories; and by selecting physical inventories in the warehouse and tracing to the stock list.

Review sales made after year end but before the physical inventory count. If the inventory count includes items that have already been sold, it may be overstated.

Perform analytical procedures to compare the quantities of inventory for the current year with prior periods and investigate significant differences.

Review management's reconciliation of count results to the ledger to ensure all variances are properly investigated with supporting documents and log.

Valuation of inventories

Obtain an understanding of management's internal control and assessment process of the provision for inventories and assess the inherent risk of material misstatement by considering the degree of estimation uncertainty and level of other inherent risk factors.

Obsolete and slow-moving items:

Review the Group's process for identifying obsolete or slow-moving items and check whether appropriate write-downs have been made.

Review the Group's inventory ageing to identify slow moving items and compare the result against the Group identified slow moving items.

Evaluate management's estimates for the inventories provision, the analysis made by management and the methodology applied to identify slow moving goods.

Compare the level of inventories written-off during the year with the provision made in prior years/ perform look back analysis.

Evaluate the net realisable value by comparing the actual selling prices subsequent to the year end to their carrying amounts at the year end.

Perform industry benchmark analysis by comparing key inventory index, e.g. inventory turnover rate and provision rate against peers.

Answer 7(b)(i)

Valuation of right-of-use-assets

The risk of material misstatement relating to the Group's right-of-use assets in terms of valuation is considered to be high.

There are numerous stores under lease agreement worldwide.

The lease contracts may be complex as lease terms range from 3 to 8 years.

Many stores are making losses, which may be an impairment indicator to the right-of-use assets.

Answer 7(b)(ii)

The relevant audit procedures should include the following:

Valuation of right-of-use-assets

Review lease contract and examine the lease agreements to understand the terms and conditions, including the lease term, lease payments, and any options to extend or terminate the lease.

Review the deprecation calculation: review the method used by the company to depreciate the right-of-use asset over the shorter of the asset's useful life and the lease term.

Understand management's impairment assessment for right-of-use assets, e.g. understand and evaluate the company's impairment testing process/ identification of retail stores with impairment indicators.

Understand management's internal control in respect of the assessment of the recoverable amount of each right of use asset and assess the significant judgment made and the degree of estimation uncertainty involved.

Enquire of management regarding key assumptions in their business plan and evaluate the key assumptions applied, such as revenue growth rate, operating costs and gross profit margin, etc., by comparing them to historical information and our understanding of latest market information and conditions.

Compare the prior year's forecast with the actual performance of the current year and make enquiries into the reasons for any significant variations identified/ perform look back analysis.

Disclosures: Review the disclosures made by the company in its financial statements to ensure they meet the requirements of the relevant accounting standards.

Answer 7(c)

The relevant audit procedures should include the following:

Lease modification

Review lease agreements: Examine the original lease agreements and the modifications to understand the changes in terms and conditions.

Confirm lease modifications: Obtain written confirmations from landlords about the modifications to the lease contracts.

Assess accounting treatment: Evaluate whether the lease modification has been accounted for as a separate lease or an adjustment to the existing lease, in accordance with the relevant financial reporting framework.

Recalculate lease liability and right-of-use assets based on the modified lease terms to ensure they have been correctly adjusted.

Reassess the appropriateness of the interest rate used in lease modification calculation.

Test assumptions and inputs: Verify the key inputs and assumptions used in the recalculation, such as the discount rate, lease term, and lease payments.

Review disclosures: Check that the company has appropriately disclosed the lease modification in its financial statements.

Answer 8(a)

Role and responsibilities of the Nomination Committee and the Remuneration Committee:

The Nomination Committee is responsible for reviewing the structure, size, and composition of the board, assessing the independence of the independent non-executive directors, and making recommendations on any proposed changes.

The committee is also responsible for selecting and recommending candidates for directorship during the initial public offering (IPO) process.

In the case of Fa's Spice Co., the Nomination Committee should ensure that the board has a balanced composition of skills, experience, and diversity of perspectives.

The Remuneration Committee is responsible for making recommendations to the board on the company's policy and structure for all remuneration of directors and senior management.

The committee should also ensure that no director or any of his associates is involved in deciding his own remuneration.

For Fa's Spice Co., the Remuneration Committee should establish a formal and transparent procedure for developing policies on executive remuneration and for fixing the remuneration packages of individual directors.

Answer 8(b)

Challenges and relevant considerations:

One of the main challenges for Fa's Spice Co. is non-compliance that might arise from the proposed hiring of Davin without experience or professional qualifications as the director of the company.

According to the Main Board Listing Rules of the Hong Kong Stock Exchange, all listed companies should have at least three independent non-executive directors.

One of them should have appropriate professional qualifications or accounting or related financial management expertise. Since the current two independent non-executive directors are Surveyor and Engineer, they do not possess the relevant financial management experience which the Company needs, therefore the third independent non-executive director must fulfill the requirement.

Another challenge is the potential conflict of interest that might arise from hiring Davin (son of the owner) as the director of the Company. The company should ensure that its corporate governance practices are robust enough to manage such conflicts of interest.

Recommendations:

The company should consider hiring independent non-executive directors with the necessary experience and qualifications to comply with the Main Board Listing Rules of the Hong Kong Stock Exchange.

The company should also establish a clear policy for managing conflicts of interest and ensure that all employees, including the son of the Li family, adhere to this policy.

The company should provide appropriate training and support for the son to gain the necessary skills and experience to fulfill his role as a director effectively. This could include mentoring programs, professional development courses, and on-the-job training.

* * * END OF EXAMINATION PAPER * * *